

Tutorial 8

Instruments: ETF vs. Futures vs. Options

A student-ready module for choosing the correct market vehicle before reading price action.

Module purpose

Prepared from the April 21, 2026 class transcript. Original discussion anchor: the class moved from GOLD/gold futures language to GLD so the student could inspect an equity options chain. The lesson expands that moment into a framework for distinguishing ETF-like products, futures, options, spot markets, and platform CFDs. Educational material only - not investment advice.

Ideal length	Audience	Student output
75-90 minutes	Beginner market students	Instrument comparison worksheet

1. Lesson snapshot

What the live conversation was really about

The live lesson moved from gold on a chart to GLD so the student could inspect an equity-style options chain. That is the teaching point: before analyzing price, students must know the instrument, venue, contract size, regulator, hours, leverage, settlement, and fees. A gold quote, a gold ETF-like product, a gold futures contract, and an option on GLD are related, but they are not the same instrument.

Conversation idea	Student-ready correction	Why it matters
Use GLD instead of GOLD to look at the options chain.	GLD trades on NYSE Arca and is designed to reflect gold bullion less trust expenses. It is easier for beginners to inspect than futures or CFD screens.	Students should not confuse the chart symbol with the market vehicle.
Gold futures are a different market.	Futures are standardized contracts with exchange rules, margin, expiration, and potential delivery or cash-settlement mechanics.	Futures create leverage and settlement obligations that are not the same as buying ETF shares.
Options are contracts on an underlying.	An option gives a right, not an obligation, to buy or sell the underlying at a strike price before or at expiration, depending on style and contract terms.	Students can use option chains for analysis before they are ready to trade options.

2. Learning objectives

- Distinguish the underlying asset from the trading instrument.
- Compare ETF-like products, futures, and options using contract size, leverage, hours, settlement, and fees.
- Explain why GLD, spot gold, gold futures, and GLD options can move together but carry different risks.
- Build an instrument checklist before opening a chart or order ticket.
- Choose beginner-safe analysis tools before using leveraged instruments.

3. Instrument map: same theme, different vehicle

Instrument	What it represents	Venue / regulator	Main beginner risk
Spot / physical gold	Gold price or physical bullion exposure. Spot quotations are often OTC reference prices, not one exchange-traded security.	Bullion dealers, OTC markets, data vendors. Rules depend on venue and jurisdiction.	Storage, spread, authenticity, liquidity, and confusing a quote with a tradable contract.
GLD	Shares of SPDR Gold Trust, designed to reflect the price of gold bullion less trust expenses.	NYSE Arca-listed exchange-traded commodity trust / ETP; prospectus and exchange rules matter.	It trades like an ETF to the student, but legally it is a commodity trust, not the same as owning physical coins or a futures contract.
GC gold futures	A standardized CME/COMEX gold futures contract. CME lists the standard GC contract unit as 100 troy ounces.	CME/COMEX futures market; U.S. futures overseen by CFTC framework.	Margin leverage, expiration, contract size, overnight moves, and potential delivery/settlement issues.
Options on GLD	Calls and puts on GLD shares, with strike prices and expiration dates.	U.S. listed options exchanges, cleared by OCC.	Premium decay, wide spreads, expiration risk, and misunderstanding open interest or volume.
CFD / platform gold product	Broker-created contract that references gold price movement. Availability and legality depend on jurisdiction.	Broker/CFD venue; not the same as U.S. exchange-traded futures or ETF shares.	Counterparty risk, leverage, opaque fees, and confusing synthetic exposure with regulated exchange products.

4. The gold example

Use gold to show why instrument selection matters. The economic theme might be the same - inflation, real yields, dollar movement, central-bank demand, geopolitical stress - but the student's instrument decides the exact risk.

Question	GLD	GC futures	GLD options
What am I watching?	An exchange-traded gold trust share.	A futures contract tied to gold with contract specs and margin.	A derivative contract whose value depends on GLD, time, volatility, strike, and rates.
How is risk paid for?	Full share price plus expense ratio over time.	Margin deposit controls a larger notional value.	Premium paid or margin required, depending on strategy.
What can go wrong?	Gold falls, tracking/expense drag, spread/liquidity at bad times.	Leverage magnifies losses, margin changes, expiration and settlement mechanics.	Premium can decay, bid-ask can widen, contract can expire worthless.
Best beginner use	Clean chart and options-chain anchor.	Learn macro reaction and futures session behavior on paper first.	Analyze positioning and liquidity before trading options.

Teaching phrase

The ticker is not the asset. GLD, GC, spot gold, and options on GLD all reference gold in some way, but each has a different rulebook.

5. ETF-like products vs. futures vs. options

Feature	ETF / ETP share	Futures contract	Option contract
Core idea	Own shares of a fund, trust, or exchange-traded product that gives exposure to an asset or basket.	Agreement to buy or sell a commodity or financial instrument at a future date under standardized exchange terms.	Right, but not obligation, to buy or sell an underlying at a strike price for a limited time.
Leverage	Usually no built-in leverage unless using a leveraged product or margin account.	Built-in notional leverage through margin.	Premium creates nonlinear exposure; short options can require margin and create large risk.
Expiration	No contract expiration for ordinary shares, though funds can close or restructure.	Yes. Futures have listed contract months and last trading/settlement rules.	Yes. Every listed option has an expiration date.
Fees / cost	Expense ratio, bid-ask spread, commissions if any.	Commissions, exchange/clearing fees, spread, margin funding; no fund expense ratio.	Premium, bid-ask spread, commissions/fees, theta/time decay.
Best class use	Beginner charting, position sizing, options-chain study.	Macro timing, overnight sessions, hedging mechanics.	Market positioning, probability, volatility, hedging, and advanced risk management.

6. The instrument checklist

Before students analyze a chart or place a paper trade, they must answer these questions. Missing one item is a reason to pause.

Checklist item	Student answer
Ticker and exchange	What exactly is the symbol, and where does it trade?
Underlying exposure	What economic exposure does it track: stock, commodity, index, volatility, currency, rate, or basket?
Regulator and rulebook	SEC/FINRA-style securities product, CFTC futures product, exchange option, broker CFD, or other?
Contract size / multiplier	How much notional exposure does one unit represent?
Trading hours	Can it move when the student cannot trade or when liquidity is thin?
Leverage and margin	Can losses exceed premium or cash paid? What triggers margin calls?
Expiration and settlement	Does it expire? Is it cash-settled, physically settled, or share-settled?
Fees and drag	Expense ratio, spread, commissions, financing, roll costs, borrow costs, or platform fees?
Liquidity	Average volume, open interest for options, depth, bid-ask spread, and slippage.

7. Common beginner mistakes

Mistake	Correction
Using a CFD chart while thinking it is a U.S. exchange-traded ETF.	Check venue, symbol description, and contract specification first.
Saying "gold is up" without naming the instrument.	Write: spot gold, GLD, GC futures, miners, or options on GLD.
Comparing ETF percentage movement with futures dollar movement without adjusting notional exposure.	Convert to percent move and notional exposure.
Trading futures because the chart is familiar.	Learn contract size, margin, tick value, hours, and settlement first.
Trading options before understanding strike, expiration, bid-ask spread, volume, and open interest.	Use options chains as analysis tools first; paper trade only after basics are mastered.

8. Classroom exercise

Give students one theme: "gold may move because of a macro catalyst." They must compare three instruments before choosing how they would observe it on paper.

Task	Requirement
Instrument comparison	Complete the checklist for GLD, GC futures, and one GLD option expiration.
Risk statement	Write one sentence describing the largest risk of each instrument.
Liquidity check	Record bid, ask, spread, and volume/open interest where available.
Beginner decision	Choose which instrument is safest for chart study, which is best for macro timing, and which is only for advanced options analysis.

9. Assessment questions

- Why is GLD not the same as owning a gold futures contract?
- What does contract size mean, and why does it matter for GC futures?
- What risks appear in extended or nearly 24-hour markets that may not be visible in a regular-session chart?
- Why should a beginner inspect an option chain before trading an option?
- What information must be written before deciding that two gold charts are comparable?

Source-backed reading list

Use these sources to complement the transcript. Students should prefer primary filings, regulator pages, and official product documentation before social media or summaries.

- [1] SEC Investor.gov, "Exchange-Traded Funds (ETFs)" - overview of exchange-traded investment products and ETF structure.
- [2] SPDR Gold Shares / State Street, GLD product page and prospectus - investment objective to reflect gold bullion less trust expenses.
- [3] CFTC, "Basics of Futures Trading" and futures market basics - definition of commodity futures contracts and common settlement/liquidation concepts.
- [4] CME Group, Gold Futures contract specifications - standard GC contract unit, price quotation, trading hours, and exchange product details.
- [5] OCC, "Characteristics and Risks of Standardized Options" - official options disclosure document and risk reference.
- [6] OIC / Cboe options education materials - beginner definitions for calls, puts, strikes, expiration, and listed options risk.

Instructor reminder

Do not let students skip instrument identification. A correct chart on the wrong instrument creates false confidence.